

Balance Sheet and Accounting

While much of the analytical focus will be on the income statement, proper and thorough analysis of the balance sheet and a company's accounting are like having a solid foundation in a construction project. They are easy for a casual observer to overlook or take for granted and may matter only once in a while. But when they matter, it's like access to oxygen—it's all that matters.

In seeking to determine intrinsic values, I like to start with the concept of working inside out versus outside in. Start with facts and not opinions. If you start with opinions, it's very easy to become wedded to them even when the facts run counter to the popular narrative. Start with SEC filings, annual reports, and trade magazine articles—not with management or colleagues' narratives or sell-side reports. The biggest mistake an analyst can make in the initial stage of their research is to start their assessment by looking at earnings (or even worse, management's presentation of adjusted earnings). When you look at these reported numbers, keep in mind that you're not looking at completely objective facts so much as a management team's perception of them. The income statement is a snapshot of what has recently transpired, and this snapshot may well have been photoshopped. I want to focus on process rather than outcomes, so starting with the income statement is putting the cart before the horse.

When we start with cash flow and the balance sheet, we focus on the process and understand the flow of the resources required to run the business. I like to think of the business not only in broad terms but also in terms of its unit economics. Think in terms of a dollar of revenue that flows into a business and runs through the cash flow statement, then the balance sheet, and last the income statement. This is ultimately how we derive a company's return on invested capital, which is usually a reliable shorthand for the quality of the business. Financial